Advice

One of the most basic mistakes in investing is focusing on the investment outcome without regard to the process used to create the outcome. A closely related concept is when a great amount of risk is used to create the returns. It is not a positive thing when inordinate amounts of risk are used to generate returns. When analyzing investment managers, it is critical to understand how the managers are creating returns, especially if they are above their stated benchmarks. How many positions are in the fund, and how does this compare to the benchmark? How many names in the portfolio created returns? What is the tracking error and R-squared to the benchmark? Sometimes you will find that a manager with a solid strategy has simply been unlucky and underperformed even though his strategy is quite sound. Numerous studies have shown that managers who have strong 10-year track records will underperform for one, two, or even three years in a row only to have the manager revert back to strong outperformance. One of the best things investors can do is dig deep into the details of the contemplated strategies and learn how returns were generated. Ex-post analysis is one of the best learning tools at any investor's disposal.

NOTES

1. Jonathan Baron & John C. Hershey, "Outcome Bias in Decision Evaluation," *Journal of Personality and Social Psychology* 54 (2008): 569–579.
2. Jonathan Baron & John C. Hershey, "Outcome Bias in Decision Evaluation," *Journal of Personality and Social Psychology* 54 (2008): 569.
3. Elaine Walster, "Assignment of Responsibility for an Accident," *Journal of Personality and Social Psychology* 3 (1966): 73–79.